

similarities are not that large until you start digging into the details. Don't worry about identifying which line is for which fund; that's not important to the point I am making. It is the same set of funds shown in Table 3.1 and the important point here is to observe the similarities.

Figure 3.3 shows the exact same funds and, more importantly, the exact same y-axis scale. The only difference is that the return of each fund has been adjusted based on the standard deviation of its returns. In essence, I have merely normalised the returns for volatility to compare them on an equal footing. Naturally you can still see some difference between the funds, but the notion that they are all working with the same base concepts should be very clear from this figure. Some perform better than others but they all react at the same time to the same events. The main differences between these funds are what investment universe they use, more specifically how their sector allocation looks, what time frame they primarily operate on, and what risk level they are using.

It is my intention in this book to dig into the gritty details of what these funds actually are and how they are creating these superior results. As you will see, the underlying methods need not be overly complex and it is completely possible for any determined individual to get into this business and compete with the big players.

■ **Cracking Open the Magic Trend-Following Black Box**

The Investment Universe

To achieve long-term success with a diversified futures strategy, you must cover multiple markets and multiple instruments per market. Running a trend-following strategy like these ones on a single market or a single asset class is at best plain silly and at worst suicidal. If you take these strategies and then go and trade only the Nasdaq 100 with it, don't come blaming me when that margin call comes along. And when I say you need multiple markets, I don't just mean that you need both the S&P 500 and the NDX. If you don't include a large variety of futures markets in different asset classes, you should not do this in the first place. Sometimes there are several years in a row when a single market or even a whole asset class just keeps losing and losing, and then some years later that turns out to be the big winner. The whole point here is that you trade everything, even if you keep losing on